MAZARS Mostafa Shawki

Public Accountants & Consultants

PricewaterhouseCoopers EzzEldeen, Diab& CO.

Public Accountants

Abu Dhabi Islamic Bank" S.A.E"
condensed interim consolidated financial statements
for the financial period ending on September 30, 2023
and the limited review report

Limited Review Report of Condensed Consolidated Interim Financial Statements

To : Board of Directors of Abu Dhabi Islamic Bank - Egypt (SAE)

Introduction

We have performed a limited review on the accompanying condensed consolidated interim statement of financial position of Abu Dhabi Islamic Bank - Egypt (SAE) (the Bank) and its subsidiaries (together "the Group") as at 30 September 2023 and the related condensed consolidated interim statements of income, comprehensive Income, changes in equity and cash flows for the nine months then ended. Management is responsible for the preparation and fair presentation of these condensed consolidated interim financial statements in accordance with the rules of preparation and presentation of banks' financial statements and basis of recognition and measurement issued by the Central Bank of Egypt on December 16, 2008 as amended by the regulation issued on February 26, 2019 and its subsequent interpretive instructions and central bank of Egypt board of directors resolution on 3 May 2020 regarding issuing condensed consolidated interim financial statements and with the requirements of applicable Egyptian laws and regulations. Our responsibility is to express a conclusion on these condensed consolidated interim financial statements based on our limited review.

Scope of Limited Review

We conducted our limited review in accordance with the Egyptian standard on review engagements (2410) "Review of interim financial information performed by the independent auditor of the entity". A limited review of condensed consolidated interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters in the Group and applying analytical and other limited review procedures. A limited review is substantially less in scope than an audit conducted in accordance with Egyptian Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on these condensed consolidated interim financial statements.

Conclusion

Based on our limited review, nothing has come to our attention that causes us to believe that accompanying condensed consolidated interim financial statements are not prepared, in all material respects, in accordance with the rules of preparation and presentation of banks' financial statements and basis of recognition and measurement issued by the Central Bank of Egypt on December 16, 2008 as amended by the regulation issued on February 26, 2019 and its subsequent interpretive instructions and Central Bank of Egypt board of directors resolution on 3 May 2020 regarding issuing condensed consolidated interim financial statements for banks and with the requirements of applicable Egyptian laws and regulations.

Auditors

Tamer Abd El-Twab
Accountants And Auditors Register No. (17996) Financial Regulatory Authority Register No. (388) CBE Register No. (501)
PricewaterhouseCoopers Ezzeldeen, Diab & Co. Public Accountants
Plot No 211, Second Sector, City Center
New Cairo 11835, Egypt

Huda Mostafa Shawki
Accountants And Auditors Register No. (3451)
Financial Regulatory Authority Register No. (7)
CBE Register No. (92)
Fellow of Egyptian Society of Accountants and Auditors
Fellow of Egyptian Tax Society
MAZARS MOSTAFA SHAWKI
Public Accountants & Consultants
153 Mohamed Farid St., Bank Misr Tower, Cairo

Cairo, 8 November 2023

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Translation of Financial statements originally issued in Arabic

Condensed consolidated interim statement of financial position as at 30 September 2023

	Note No	30 September 2023 EGP (In thousands)	31 December 2022 EGP (In thousands)
Assets			
Cash and due from Central Bank of Egypt	13	11,166,129	9,926,973
Due from banks	14	40,084,171	14,214,129
Conventional financing to customers (net of expected credit losses)	15	18,106	14,659
Financing and facilities to customers (net of expected credit losses)	15	61,228,074	56,558,054
Islamic forward exchange contracts		8,076	12,953
Financial Investments			
- Fair value through profits and losses	16/1	175,559	186,600
- Financial investments at FVOCI	16/2	5,824,134	4,003,093
- Financial investments at amortized cost	16/3	23,687,873	26,889,619
Investments in associates		311,461	214,875
Intangible assets		24,001	20,936
Other assets		3,482,116	2,666,551
Fixed assets (net of accumulated depreciation)	17	522,992	496,468
Investments properties (net)		15,012	16,108
Financial leased assets to others		1,910,136	1,479,357
Deferred tax assets		155,855	126,776
Total assets		**148,613,695**	**116,827,151**
Liabilities and equity			
Liabilities			
Due to banks	18	6,301,449	74,840
Customers' deposits	19	115,201,345	97,614,326
Islamic forward exchange contracts / Islamic currency Swap Contracts		4,381	2,507
Subordinated Financing / Other Islamic Financings	20	5,017,016	3,085,265
Other liabilities		6,581,532	5,539,247
Current income tax liability		1,227,594	642,374
Other provisions	21	879,055	744,578
Defined benefits obligations		248,024	220,215
Total liabilities		**135,460,396**	**107,923,352**
Equity			
Issued & Paid up Capital	22	5,000,000	4,000,000
Reserves	23	658,360	542,887
Difference between face value and present value for non-interest subordinated financing		31,784	35,780
Retained earnings		7,443,601	4,311,574
Total equity attributable to equity holders' of the bank		**13,133,745**	**8,890,241**
Non-controlling interests		19,554	13,558
Total equity		**13,153,299**	**8,903,799**
Total liabilities and equity		**148,613,695**	**116,827,151**

The Limited Review Report is attached

The accompanying notes from (1) to (25) are integral part of these financial statements.

Mohamed Aly
Chief Executive Officer and Managing Director

M. D
Mohamed Shawky
Chief Financial Officer

ADIB مصرف أبوظبي الإسلامي
Abu Dhabi Islamic Bank - Egypt
Finance Department

Cairo on November 8, 2023

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim income statement for the period ended 30 September 2023

	Note No	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Income from Murabaha, Musharaka, Mudaraba and similar income		13,590,355	7,721,230	5,281,899	2,861,474
Cost of deposits and similar costs		(7,347,326)	(4,284,514)	(2,933,116)	(1,571,402)
Net income from funds	**6**	**6,243,029**	**3,436,716**	**2,348,783**	**1,290,072**
Fees and commissions income		1,518,775	750,647	529,621	262,692
Fees and commissions expenses		(260,411)	(154,578)	(117,333)	(58,362)
Net fees and commission income	**7**	**1,258,364**	**596,069**	**412,288**	**204,330**
Dividend income	8	4,951	2,629	172	197
Net trading income	9	254,152	107,245	35,716	33,947
Administrative expenses		(1,353,985)	(1,122,745)	(467,201)	(385,237)
Other operating expenses	10	(441,877)	(246,942)	(82,287)	(117,615)
Expected credit losses	11	(1,078,635)	(379,955)	(423,718)	(151,128)
Gain on sale of the financial investments in subsidiaries		-	168	-	-
Gain/Loss on financial investments		5	27,246	-	(6,532)
Share Of Associates Results		65,594	24,904	30,703	(6,156)
Net profit for the period before tax		**4,951,598**	**2,445,335**	**1,854,456**	**861,878**
Income tax expense	12	(1,396,923)	(856,309)	(467,461)	(295,723)
Net profit for the period From continuous operations		**3,554,675**	**1,589,026**	**1,386,995**	**566,155**
discontinuous operations					
Profit for the period from Discontinued Operations		**-**	**(5,806)**	**-**	**175**
Net profit for the period From continuous operations		**3,554,675**	**1,583,220**	**1,386,995**	**566,330**
Attributable to:					
Shareholder's equity of the bank		3,552,084	1,589,856	1,386,767	565,939
Non-controlling interests		2,591	(6,636)	228	391
Net profit for the period From continuous operations		**3,554,675**	**1,583,220**	**1,386,995**	**566,330**
Basic earning per share in net profit for the period (EGP)		**6.69**	**6.79**	**2.36**	**2.51**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of comprehensive income for the period ended 30 September 2023

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Net profit for the period	**3,554,675**	**1,583,220**	**1,386,995**	**566,330**
Items that will not be reclassified to the Profit and Loss:				
Change in fair value reserve of equity instruments at fair value through other comprehensive income	16,680	38,818	979	2,561
Tax impact related to other comprehensive income that will not be reclassified to the profit or loss	(3,752)	(8,734)	(220)	(578)
Other comprehensive income items reclassified to the profit and loss:				
Change in fair value reserve of debt instruments at fair value through other comprehensive income	(8,755)	(39,903)	(11,955)	10,359
Expected credit loss for fair value of debt Instruments measured at fair value through other comprehensive income	1,198	-	-	-
Deffered Income tax related to items that are reclassified to the profits and losses	1,970	8,978	2,690	(2,331)
Total other comprehensive income for the period, net of tax	**7,341**	**(841)**	**(8,506)**	**10,011**
Total comprehensive income for the period net of tax	**3,562,016**	**1,582,379**	**1,378,489**	**576,341**
Attributable to:				
Shareholder's equity of the bank	3,559,425	1,589,015	1,378,261	575,950
Non-controlling interests	2,591	(6,636)	228	391
Total comprehensive income for the period net of tax	**3,562,016**	**1,582,379**	**1,378,489**	**576,341**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of cash flows for the period ended 30 September 2023

	Note No.	30 September 2023 EGP (in thousands)	30 September 2022 EGP (in thousands)
Cash flows from operating activities			
Net profit for the period before tax		4,951,598	2,445,335
Adjustments to reconcile profits with cash flows from operating activities			
Depreciation and Amortization of fixed and intangible assets		63,417	78,630
Depreciation of investment property		917	892
Charge / (release) impairment loss of financing and facilities to customers	11	1,059,787	379,857
Collections of loans previously written off	15	20,404	167,414
Charge / (release) other provisions		121,298	797,324
Provisions no longer required other than financing provision	21	(64,867)	(76,036)
Provisions used other than financing provision	21	(5,631)	(1,902,419)
Bonds' premium and discount amortization		(149,947)	(24,716)
Foreign currency valuation differences of financing provisions in foreign currencies	15	132,874	68,067
Foreign currency valuation differences of provisions in foreign currencies other than financing provisions	21	78,769	34,846
Foreign currency valuation differences of due from banks provisions in foreign currencies	14	377	26
Foreign currency valuation differences of financial investments at FVOCI in foreign currencies		(12,443)	(7,491)
Foreign currency valuation differences of financial assets at AC in foreign currencies		194	(46,675)
Foreign currency valuation differences provisions in foreign currencies for financial instruments at AC		7,090	4,321
Foreign currency valuation differences of subordinated financing - With coupon	20	1,561,829	184,109
Foreign currency valuation differences of subordinated financing - Zero coupon	20	204,223	128,739
Foreign currency valuation differences of subordinated financing - Zero coupon - Equity		15,992	25,052
Losses / (Gains) valuation of financial investments at FVPL		(10,401)	1,944
Gains (losses) from revaluation of Forward contracts		(3,675)	(19,311)
Charge /(release) impairment loss of due from banks	11	8,243	98
Charge /(release) impairment loss provisions of FVOCI instruments	11	1,198	-
Charge /(release) impairment loss of financial investments at amortized cost	11	9,407	-
Charge /(release) impairment loss provisions of investments in subsidiaries & associates		-	(26,145)
Charge /(release) Impairment loss of assets reverted to bank	10	-	(20,000)
Charge /(release) Impairment loss of other assets	10	2,823	-
Losses / (Gains) sale of equity instruments at FVPL		(11,986)	(4,815)
Losses / (Gains) sale of equity instruments at FVOCI		(5)	(1,299)
Gains / (Losses) from sale of investments in subsidiaries & associates		-	(168)
Losses / (Gains) on sale of fixed assets	10	(42,173)	(722)
Losses / (Gains) on sale of Investment Property	10	(222)	(369)
Bank's Share of Associates' results		(65,594)	(24,904)
Dividends income from equity instruments at FVOCI	8	(4,951)	(2,629)
Amortization of subordinated financing using EIR method	20	19,988	18,821
Financing expenses for other long term loans		-	18,086
Employees Benefits charged		-	187
Operating profits before changes in assets and liabilities resulting from operating activities		**7,888,533**	**2,196,049**
Net change in assets & liabilities			
Due from banks with maturity more than 90 days		2,471,142	306,098
Treasury bills with maturity more than 90 days		(4,168,982)	3,679,107
Financial investments at FVPL		33,427	(43,701)
Financing and facilities to customers and banks	15	(6,051,329)	(10,057,069)
Other assets		(742,209)	(71,294)
Receivables of Leased assets		(440,004)	(348,015)
Due to banks	18	6,226,609	371,636
Customers' deposits	19	17,458,555	9,656,005
Financial derivatives		10,426	(15,061)
Other liabilities		1,161,078	2,958,437
Employees' Benefits obligations		27,808	27,621
Income tax paid		(843,269)	(815,982)
Net Cash flows generated from Operating activities		**23,031,785**	**7,843,831**

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of cash flows for the period ended 30 September 2023

		30 September 2023 EGP (in thousands)	30 September 2022 EGP (in thousands)
Cash flows from investing activities			
Payments to purchase of fixed assets & Branches fixtures	17	(85,395)	(47,767)
Proceeds from sale of fixed assets		49,084	923
Payments to purchase of intangible assets		(14,522)	(670)
Proceeds from Sale of Investment Property		400	800
Payments to purchase financial investments at FVOCI		(616,003)	1,823
Proceeds from recovery of financial investments at FVOCI		355,826	1,601
Payments to purchase financial investments at AC		(3,119,108)	(2,797,816)
Proceeds from recovery of financial investments at AC		4,380,487	2,212,802
Payments to purchase investment in subsidiaries and associates		(31,629)	26,113
Proceeds from dividends income		4,951	3,154
Net Cash flows generated from/(used in) generated from Investing activities		**924,091**	**(599,037)**
Cash flows from financing activities			
Paid under Capital Increase		-	(1,860,018)
Issued and Paid-up Capital		-	2,000,000
Paid up capital under registration		1,000,000	-
General Reserve		3,584	10,460
Proceeds / (Paid) from other long term loans		246,318	415,568
Difference between FV & PV of subordinated financing		-	(36,860)
Dividends income paid		(314,294)	(167,163)
Net Cash flows generated from financing activities		**935,608**	**361,987**
Net increase (decrease) in cash and cash equivalents during the period		24,891,484	7,606,781
Cash and Cash Equivalents at the beginning of the period		16,137,515	4,481,510
Cash and cash equivalents at the end of the period		**41,028,999**	**12,088,291**
Cash and cash equivalents are represented in			
Cash and due from Central Bank of Egypt	13	11,166,129	6,487,681
Due from banks	14	40,094,349	10,442,906
Treasury bills		11,597,775	8,962,202
Central Bank of Egypt Reserve		(10,231,881)	(5,831,523)
Due from banks with maturity more than three months from date of acquisition		-	(195,523)
Treasury bills with maturity more than three months from date of acquisition		(11,597,373)	(7,777,452)
Cash and cash equivalents at the end of the period		**41,028,999**	**12,088,291**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of changes in equity for the period ended 30 September 2023

EGP (in thousands)

	Paid up capital	Paid up capital under registration	Paid under capital increase	Capital Reserve	Legal reserve	General reserve	Special reserve	General banking risk reserve	General risk reserve	Fair value reserve	Difference between face value and present value for non-interest subordinated financing	Retained earnings	Total	Non-controlling interests	Total
30 September 2022															
Balance at 1 January 2022	2,000,000	-	1,861,418	3,698	80,261	42,522	22,688	451,763	273,022	66,613	30,864	2,064,121	**6,896,970**	(17,362)	**6,879,608**
Transferred to reserves	-	-	-	365	68,978	-	-	(191,508)	-	-	-	122,165	**-**	-	**-**
Dividends distributions to employees, board members and the banking system development fund	-	-	-	-	-	-	-	-	-	-	-	(159,714)	**(159,714)**	-	**(159,714)**
Remuneration for board members and Employees' Subsideries	-	-	-	-	-	-	-	-	-	-	-	(6,924)	**(6,924)**	-	**(6,924)**
Net change in other comprehensive income items	-	-	-	-	-	-	-	-	-	(841)	-	-	**(841)**	-	**(841)**
Amortization of the difference between face value and present value of subordinated financing	-	-	-	-	-	-	-	-	-	-	6,231	18,821	**25,052**	-	**25,052**
Transfer From Liabilities To Equities	-	2,000,000	(1,861,418)	-	-	10,460	-	-	-	-	-	-	**149,042**	-	**149,042**
Prior periods impact of subsidiaries & associates adjustments	-	-	-	-	-	-	2,259	-	(53,043)	-	-	(179,508)	**(230,292)**	37,547	**(192,745)**
Net profit for the period	-	-	-	-	-	-	-	-	-	-	-	1,589,856	**1,589,856**	(6,636)	**1,583,220**
Balance at 30 September 2022	**2,000,000**	**2,000,000**	**-**	**4,063**	**149,239**	**52,982**	**24,947**	**260,255**	**219,979**	**65,772**	**37,095**	**3,448,817**	**8,263,149**	**13,549**	**8,276,698**
30 September 2023															
Balance at 1 January 2023	4,000,000	-	-	4,063	149,239	51,371	25,295	9,062	219,979	83,878	35,780	4,311,574	**8,890,241**	13,558	**8,903,799**
Transferred to reserves	-	-	-	685	106,252	-	-	(9,062)	-	-	-	(97,875)	**-**	-	**-**
Dividends distributions to employees, board members and the banking system development fund	-	-	-	-	-	-	-	-	-	-	-	(303,138)	**(303,138)**	-	**(303,138)**
Remuneration for board members and Employees' Subsideries	-	-	-	-	-	-	-	-	-	-	-	(14,393)	**(14,393)**	(96)	**(14,489)**
Net change in other comprehensive income items	-	-	-	-	-	-	-	-	-	7,341	-	-	**7,341**	-	**7,341**
Amortization of the difference between face value and present value of subordinated financing	-	-	-	-	-	-	-	-	-	-	(3,996)	19,988	**15,992**	-	**15,992**
Transfer From Liabilities To Equities	1,000,000	-	-	-	-	3,584	-	-	-	-	-	-	**1,003,584**	-	**1,003,584**
Prior years Impact of subsidiaries adjustments	-	-	-	-	-	-	6,673	-	-	-	-	(24,639)	**(17,966)**	3,501	**(14,465)**
Net profit for the period	-	-	-	-	-	-	-	-	-	-	-	3,552,084	**3,552,084**	2,591	**3,554,675**
Balance at 30 September 2023	**5,000,000**	**-**	**-**	**4,748**	**255,491**	**54,955**	**31,968**	**-**	**219,979**	**91,219**	**31,784**	**7,443,601**	**13,133,745**	**19,554**	**13,153,299**

The accompanying notes from (1) to (25) are integral part of these financial statements.

1.GENERAL INFORMATION

Abu Dhabi Islamic Bank ("ADIB") - Egypt (formerly National Development Bank - a joint stock company) was incorporated as an Egyptian joint stock company under Law No. 43/1974 and its executive regulations in the Arab Republic of Egypt. The main office of the Bank is located at 9 Rustom Street - Garden City, Cairo. The bank is listed on the Egyptian Stock Exchange.

ADIB was registered in the Commercial Register on April 3, 2013 by changing the bank's name from National Development Bank to Abu Dhabi Islamic Bank (ADIB) - Egypt.

ADIB provides corporates, retail banking and investment services in the Arab Republic of Egypt through 70 branches, delegates and agencies employing more than 2,353 employees on the date of the financial statements.

These condensed separate interim financial statements for the period ended June 30, 2023 were approved by the Board of Directors on 8 November, 2023.

2.BASIS OF PREPARATION OF THE CONDENSED SEPARATE FINANCIAL STATEMENTS

These condensed separate financial statements have been prepared in accordance with the instructions of the Central Bank of Egypt (CBE) rules approved by its board of directors on December 16th, 2008, and as per IFRS (9) "Financial Instruments" in accordance with the instructions of the CBE dated February 26th, 2019, and in light of the revised Egyptian Accounting Standards (EAS) issued during the year 2015; related amendments and the provisions of local laws and as per of Egyptian laws and regulations related to the preparation of these separate financial statements and The bank has issued Condensed Financial Statements based on the instructions of the Central Bank of Egypt issued on May 3, 2020. Then revert back to what is not stated in the instructions of the Central Bank of Egypt, to the requirements of the instructions that allow banks to issue Condensed quarterly financial statements

The financial statements of the Bank had been prepared till 31st December 2018 using rules for the preparation and presentation of the financial statements of banks and the recognition and measurement principles issued by (CBE) on 16th December 2008; however, as from 1st January 2019 and based on the instructions issued by the (CBE) relevant to preparation of the financial statements of banks in the accordance with (IFRS 9) "Financial Instruments" as of 26th February 2019, the management has modified certain accounting policies to conform to those instructions. The following note details the changes in accounting policies.

These condensed separate interim financial statements do not include all information and disclosures required for full annual separate financial statements prepared in accordance with CBE rules mentioned above and should be read in conjunction with the bank's financial statements as at year ended December 31, 2022.

In preparing these condensed separate interim financial statements, significant judgements made by the management in applying the bank's accounting policies and the key sources of estimation were the same as those were applied to the separate financial statements as at year ended December 31, 2022.

3.FINANCIAL RISK MANAGEMENT

3/1/1 Loans and Financing:

The following is the position of financing and facilities balances in terms of creditworthiness compared to the three stages of calculating the expected credit losses (ECL)

EGP (in thousands)

	30 September 2023				31 December 2022			
Retail	Stage One 12 Month	Stage Two Lifetime	Stage Three Lifetime	Total	Stage One 12 Month	Stage Two Lifetime	Stage Three Lifetime	Total
Creditworthiness as per CBE classification								
Good debts *	15,041,925	175,012	4,356	15,221,293	13,233,531	226,659	3,798	**13,463,988**
Regular follow-up	-	310,316	37,210	347,526	-	283,352	39,129	**322,481**
Special follow-up	-	-	27,712	27,712	-	40	44,824	**44,864**
Non-performing loans	-	-	431,956	431,956	-	-	559,724	**559,724**
Total	**15,041,925**	**485,328**	**501,234**	**16,028,487**	**13,233,531**	**510,051**	**647,475**	**14,391,057**
(Less) Expected Credit Losses	(284,922)	(80,157)	(264,677)	(629,756)	(202,316)	(82,568)	(347,582)	**(632,466)**
(Less) Profit in suspense	**(1,812)**	**(5,779)**	**(83,170)**	**(90,761)**	**(1,830)**	**(4,239)**	**(105,197)**	**(111,266)**
Book value	**14,755,191**	**399,392**	**153,387**	**15,307,970**	**13,029,385**	**423,244**	**194,696**	**13,647,325**

EGP (in thousands)

	30 September 2023				31 December 2022			
Corporate	Stage One 12 Month	Stage Two Lifetime	Stage Three Lifetime	Total	Stage One 12 Month	Stage Two Lifetime	Stage Three Lifetime	Total
Creditworthiness as per CBE classification								
Good debts	23,502,885	20,883	7,644	**23,531,412**	23,769,547	144,234	954	**23,914,735**
Regular follow-up	21,934,658	1,300,811	10,566	**23,246,035**	17,598,312	1,231,880	1,277	**18,831,469**
Special follow up	-	1,824,655	1,239	**1,825,894**	-	1,763,717	21,084	**1,784,801**
Non-performing loans	-	-	444,236	**444,236**	-	-	458,914	**458,914**
Total	**45,437,543**	**3,146,349**	**463,685**	**49,047,577**	**41,367,859**	**3,139,831**	**482,229**	**44,989,919**
(Less) Expected Credit Losses	(1,254,230)	(1,404,645)	(449,452)	**(3,108,327)**	(1,037,885)	(545,970)	(480,607)	**(2,064,462)**
(Less) Profit in suspense	-	(95)	(945)	**(1,040)**	-	(10)	(59)	**(69)**
Book value	**44,183,313**	**1,741,609**	**13,288**	**45,938,210**	**40,329,974**	**2,593,851**	**1,563**	**42,925,388**

* The second and third stages include some debts that repayments have been organized but have not fulfilled yet all the conditions for progression to a higher stage.

3.FINANCIAL RISK MANAGEMENT- Continued

3/1/2 Financing and facilities

The balances of financing and facilities in terms of credit worthiness are as follows:

		EGP (in thousands)
	30 September 2023	31 December 2022
Financing and facilities	Financing and facilities to customers	Total Financing and facilities
Neither past due nor impaired	60,479,465	54,601,389
Past due but not impaired	3,631,677	3,649,881
Impaired	964,920	1,129,704
Total	**65,076,062**	**59,380,974**
Less:		
Expected Credit Losses	(3,738,083)	(2,696,928)
Profit in suspense	(91,799)	(111,333)
Net	**61,246,180**	**56,572,713**

- Secured financing are not considered to be impaired for the non-performing, taking into account the viability of such collaterals.
- During the period ended 30 September 2023, the Bank's portfolio of financing and facilities increased by 9.59% (31 December 2022, an increase of 26.09%).

3.Financial risk management - Continued

3/1/3 Financing and facilities-continued

The table below shows the changes in Expected Credit Losses for the three stages:

EGP (in thousands)

Retail	30 September 2023 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total	31 December 2022 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total
Balance of expected credit losses on 1 January 2023	202,316	82,568	347,582	**632,466**	82,082	114,295	375,103	**571,480**
Transferred from stage 1	(4,987)	54,449	28,658	**78,120**	(9,478)	62,425	74,009	**126,956**
Transferred from stage 2	7,592	(34,335)	24,653	**(2,090)**	6,855	(64,145)	56,938	**(352)**
Transferred from stage 3	109	286	(1,279)	**(884)**	302	218	(1,745)	**(1,225)**
Charge / (Release) of Expected credit losses during the period / year	74,620	(8,344)	97,545	**163,821**	121,410	(11,618)	158,645	**268,437**
Financial assets purchased during the period / year	10,414	-	-	**10,414**	7,659	-	-	**7,659**
Financial assets disposed of/ paid during the period / year	(5,142)	(14,467)	(108,550)	**(128,159)**	(6,514)	(18,607)	(129,209)	**(154,330)**
Used provisions during the period / year	-	-	(123,932)	**(123,932)**	-	-	(186,159)	**(186,159)**
Balance of Expected Credit Losses	**284,922**	**80,157**	**264,677**	**629,756**	**202,316**	**82,568**	**347,582**	**632,466**

EGP (in thousands)

Corporate	30 September 2023 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total	31 December 2022 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total
Balance of expected credit losses on 1 January 2023	1,037,885	545,970	480,607	**2,064,462**	475,948	179,181	522,864	**1,177,993**
Transferred from stage 1	(21,256)	258,414	16,295	**253,453**	(29,302)	72,201	33,589	**76,488**
Transferred from stage 2	36,477	(36,816)	3,992	**3,653**	2,398	(5,038)	5,705	**3,065**
Transferred from stage 3	-	-	-	**-**	-	235,326	(105,059)	**130,267**
Charge / (Release) of Expected credit losses during the period / year	196,038	652,003	(50,813)	**797,228**	490,182	82,462	70,464	**643,108**
Financial assets purchased during the period / year	108,091	-	-	**108,091**	139,232	-	-	**139,232**
Financial assets disposed of/ paid during the period / year	(103,005)	(14,926)	28,173	**(89,758)**	(40,573)	(18,162)	106,545	**47,810**
Used provisions during the period / year	-	-	(28,802)	**(28,802)**	-	-	(153,501)	**(153,501)**
Balance of Expected Credit Losses	**1,254,230**	**1,404,645**	**449,452**	**3,108,327**	**1,037,885**	**545,970**	**480,607**	**2,064,462**

3.FINANCIAL RISK MANAGEMENT- Continued

3/1/4 Concentration risk of financial assets exposed to credit risk

Geographical sectors

The following table represents an analysis of the Bank's most significant credit risk limits at book value, distributed by geographical segment at the end of the current period. When preparing this table, risk is allocated to the geographical segments according to the regions associated with the Bank's customers.

EGP (in thousands)

	Arab Republic of Egypt				
	Cairo	Alexandria, Delta & Sinai	Upper Egypt	**Total**	**Total**
Debt instruments at FVOCI					
- Egyptian treasury Bonds	214,139	-	-	**214,139**	**214,139**
- Egyptian treasury bills	5,245,333	-	-	**5,245,333**	**5,245,333**
Debt instruments at amortized cost					
- Egyptian treasury Bonds	17,404,848	-	-	**17,404,848**	**17,404,848**
- Egyptian treasury bills	6,328,110	-	-	**6,328,110**	**6,328,110**
Facilities to banks					
Retail					
- Debit current accounts	3,885	1,483	226	**5,594**	**5,594**
- Credit cards	637,580	78,686	15,883	**732,149**	**732,149**
- Personal financings	10,287,727	3,646,300	851,152	**14,785,179**	**14,785,179**
- Real estate financings	372,745	39,526	2,363	**414,634**	**414,634**
Corporate					
- Debit current accounts	8,841,456	1,170	78	**8,842,704**	**8,842,704**
- Credit cards	236	-	-	**236**	**236**
- Direct financings	39,138,470	379,556	278,795	**39,796,821**	**39,796,821**
- Syndicated financings	406,946	-	-	**406,946**	**406,946**
Balance at 30 September 2023	**88,881,475**	**4,146,721**	**1,148,497**	**94,176,693**	**94,176,693**
Balance at 31 December 2022	**72,043,436**	**4,218,895**	**1,091,565**	**77,353,896**	**77,353,896**

3.FINANCIAL RISK MANAGEMENT- Continued

3/2 Market Risk

The Bank is exposed to market risk represented in fluctuations in fair value or future cash flows arising from changes in market prices. The market risk arises from the open positions of the yield rates and foreign currencies, as each is exposed to general and private movements in the market and changes in the level of sensitivity to market rates or prices such as rates of yield and exchange rates. The Bank splits its exposure to market risk into trading and non-trading portfolios. The market risk management is monitored by two separate teams. Market risk reports are reported to the Risk Committee of the Board of Directors and heads of operating units on a regular basis.

The portfolios of financial investments at fair value through profit or loss include those positions resulting from the Bank's direct dealing with customers or with the market, while non-trading portfolios arise primarily from managing the yield rate on assets and liabilities. These portfolios include foreign exchange risk and equity instruments arising from financial investments at amortized cost and financial investments at fair value through other comprehensive income.

3/2/1 Risk of fluctuations in foreign exchange rates

- The Bank is exposed to risk of fluctuations in foreign exchange rates on its financial position and cash flows. The Board of Directors has set limits on foreign exchange at the total value of each of the positions at the end of the day as well as during the day. The following table summarizes the Bank's exposure to foreign exchange risk at the end of the financial year. The following table presents the book value of financial instruments distributed in their respective currencies:

EGP (in thousands)

30 September 2023	EGP	USD	Euro	Sterling Pound	Japanese Yen	Other currencies	Total
Assets							
Cash and due from Central Bank of Egypt	10,917,407	185,573	1,031	54,844	-	7,274	**11,166,129**
Due from banks	24,019,797	15,204,881	130,513	465,495	5,102	258,383	**40,084,171**
Financings and facilities to customers	47,659,541	11,821,065	28,238	1,737,336	-	-	**61,246,180**
Islamic forward / Islamic currency swap contracts	8,022	54	-	-	-	-	**8,076**
Financial investments at FVPL	175,559	-	-	-	-	-	**175,559**
Financial investments at FVOCI	5,544,671	276,238	-	3,225	-	-	**5,824,134**
Financial investments at amortized cost	17,633,671	5,876,651	-	177,551	-	-	**23,687,873**
Other assets	4,065,157	260,921	100	20,590	-	185	**4,346,953**
Total assets	**110,023,825**	**33,625,383**	**159,882**	**2,459,041**	**5,102**	**265,842**	**146,539,075**
Liabilities and shareholders' equity							
Due to banks	9,661	6,276,772	-	-	-	15,016	**6,301,449**
Customers' deposits	91,699,847	20,310,327	154,574	2,411,988	3,478	621,131	**115,201,345**
Subordinated financings	1,221,625	3,795,391	-	-	-	-	**5,017,016**
Other liabilities	309,762	124,028	168	555	-	(178)	**434,335**
Total Liabilities and shareholders' equity	**93,245,276**	**30,506,518**	**154,742**	**2,412,543**	**3,478**	**635,969**	**126,958,526**
Net financial position	**16,778,549**	**3,118,865**	**5,140**	**46,498**	**1,624**	**(370,127)**	**19,580,549**
31 December 2022							
Total assets	**93,051,706**	**19,978,192**	**84,464**	**1,798,556**	**6,580**	**218,018**	**115,137,516**
Total Liabilities and shareholders' equity	**81,659,035**	**16,841,246**	**83,013**	**1,815,595**	**4,266**	**567,920**	**100,971,075**
Net financial position	**11,392,671**	**3,136,946**	**1,451**	**(17,039)**	**2,314**	**(349,902)**	**14,166,441**

3.FINANCIAL RISK MANAGEMENT- Continued

3/2/2 Profit Rate Risk

- The Bank is exposed to the effects of fluctuations in the prevailing market yield rates, which is the risk of the cash flows of the yield rate of the future cash flows of a financial instrument due to changes in the instrument's yield rate and the risk of the fair value of the rate of yield , which is the risk of fluctuations in the value of the instrument due to changes in market yield rates , The margin of yield may increase as a result of those changes, but profits may fall in the event of unexpected movements. The Asset-Liability Committee (ALCO) sets limits on the level of variation in the re-pricing of the yield that the Bank may hold, and this is monitored daily by the Bank's risks.

3/3 Liquidity Risk

Liquidity risk is the risk that the Bank will encounter difficulties in meeting its obligations associated with its financial obligations at due date and the replacement of amounts withdrawn. This could result in failure to meet the repayment obligations of depositors and to meet financing commitments.

3/4 Capital Management

The objectives of the Bank in managing capital, in addition to the apparent equity in the financial position, are as follows:

- Compliance with the legal requirements of capital in the Arab Republic of Egypt and in the countries in which the Bank's branches operate.
- To protect the Bank's ability to continue and enable it to continue to generate yield for shareholders and other parties dealing with the Bank.
- Maintain a strong capital base that supports growth in activity.

Capital adequacy and capital uses are reviewed in accordance with the requirements of the regulatory body (the Central Bank of Egypt in the Arab Republic of Egypt or the supervisory bodies in which the foreign branches of the Bank operate) daily through the Bank's management, through models based on Basel Committee guidelines for banking supervision. The required data are provided to the Central Bank of Egypt on a quarterly basis.

The following table summarizes the basic and supporting capital components and capital adequacy ratios.

According to Basel II	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Total basic going concern capital after disposal	9,177,623	8,542,820
Total additional basic capital	3,581,873	35,780
Total Tier 1 after disposal (basic capital)	12,759,496	8,578,600
Total Tier 2 after disposal	4,100,978	2,316,009
Total capital base after disposal	16,860,474	10,894,609
Total assets and contingent liabilities weighted by credit, market, operational risks	94,430,016	75,921,585
Capital Adequacy Ratio	17.85%	14.35%

3.FINANCIAL RISK MANAGEMENT- Continued

3/5 Leverage Ratio

The Board of Directors of the Central Bank of Egypt (CBE) at its meeting dated 7 July 2015 issued a resolution approving the supervisory instructions for the financial leverage, with the banks' commitment to the minimum rate of 3% on a quarterly basis as a binding control ratio starting from 2019.

In preparation for consideration of the first support of the Basel (Minimum Capital Adequacy) in order to preserve the strength and integrity of the Egyptian banking system and to comply with the best international supervisory practices in this regard. The leverage reflects the relationship between the first tier of capital used in the standard Capital adequacy (after exclusions), and bank assets (both within and outside the balance sheet) are not weighted by risk weights.

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Tier 1 capital after disposals (1)	12,759,496	8,578,600
Total on-balance sheet exposures items after deducting tier 1 disposals	150,275,580	117,822,981
Derivatives contracts exposures	16,380	21,070
Exposure resulting from securities financing	2,757	7,143
Total on-balance sheet exposures, financial derivatives contracts and financing financial securities	150,294,717	117,851,194
Total contingent liabilities	12,825,865	11,910,836
Total commitments	4,248,626	3,798,027
Total exposures off-balance sheet	17,074,491	15,708,863
Total exposures on-balance sheet and off-balance sheet (2)	167,369,208	133,560,057
Financial leverage ratio (1/2)	7.62%	6.42%

4. SIGNIFICANT ACCOUNTING ESTIMATES AND ASSUMPTIONS

The Bank shall use estimates and assumptions that affect the amounts of assets and liabilities disclosed during the next fiscal period / year. Estimates and assumptions shall be continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances and information available.

A. Estimates:

Information on estimates used in applying accounting policies that have a material impact on the amounts recognized in the financial statements:

- **Classification of financial assets**: Valuation of the business model in which the asset shall be retained and evaluated whether contractual terms of the financial asset shall result in the generating of cash flows in the form of payment of profit and installments on the outstanding balances of those assets.

B. Uncertainty Related with Assumptions and Estimates

Uncertainties related with assumptions and estimates of significant risks that may result in material adjustments in the financial year ended on 31 March 2023 shall be appeared in the following notes:

- **Impairment of financial instruments**: An assessment of whether there has been a significant increase in credit risk on financial assets since the initial recognition, taking into account, the impact of future information upon measuring the expected credit losses.
- **Determination of the fair value of financial instruments**: using unobservable inputs upon measuring.
- **Measurement of defined benefit liabilities**: Key actuarial assumptions.
- **Recognition of deferred tax assets**: the existence of future taxable profits that may be benefited from forward tax losses.

5. SEGMENTS ANALYSIS

The activity segments shall include the operations, assets used in the provision of banking services, the management of the risks surrounding them, and the profit related with this activity, which may differ from other activities. The segment analysis of operations in accordance with the banking business shall include:

Corporates
Including current account activities, deposits, debit current accounts receivable, finance, credit facilities.

Investment
Including corporate mergers, investment purchasing, financing of corporate restructuring and financial instruments and financial derivatives.

Retail
Including current account activities, savings, deposits, credit cards, personal finance and real estate finance.

Other activities
Including other banking activities as the management of funds and transactions between activity segments in accordance with the normal course of business of the Bank; assets and liabilities shall include operating assets and liabilities as presented in the Bank's financial position.

EGP (in thousands)

30 September 2023	corporate	Investment	Retail	Other activities	Total
Revenues and expenses by activity segment					
Revenues of activity segment	2,874,956	1,429,895	2,201,574	1,170,300	**7,676,725**
Expenses of activity segment	(1,522,591)	(64,439)	(1,016,971)	(121,125)	**(2,725,126)**
Net profit for the period before tax	1,352,365	1,365,456	1,184,603	1,049,175	**4,951,599**
Tax	(304,282)	(498,505)	(280,988)	(313,148)	**(1,396,923)**
Net profit for the period	**1,048,083**	**866,951**	**903,615**	**736,027**	**3,554,676**
Assets and liabilities by activity segment					
Assets of activity segment	43,757,024	69,365,897	17,874,962	-	**130,997,883**
Un-classified assets	-	-	-	17,615,812	**17,615,812**
Total assets	**43,757,024**	**69,365,897**	**17,874,962**	**17,615,812**	**148,613,695**
Liabilities of activity segment	56,446,133	10,592,407	58,745,486	-	**125,784,026**
Un-classified liabilities	-	-	-	9,676,369	**9,676,369**
Total liabilities	**56,446,133**	**10,592,407**	**58,745,486**	**9,676,369**	**135,460,395**

EGP (in thousands)

31 December 2022	corporate	Investment	Retail	Other activities	Total
Revenues and expenses by activity segment					
Revenues of activity segment	2,059,758	1,322,856	2,278,105	451,201	**6,111,920**
Expenses of activity sectors	(699,426)	(47,767)	(1,371,109)	(693,143)	**(2,811,445)**
Profit for the year before tax	**1,360,332**	**1,275,089**	**906,996**	**(241,942)**	**3,300,475**
Tax	(307,967)	(761,070)	(227,924)	186,233	**(1,110,728)**
Profit for the year	**1,052,365**	**514,019**	**679,072**	**(55,709)**	**2,189,747**
Assets and liabilities by activity segment					
Assets of activity sectors	41,975,571	44,745,406	16,578,447	-	**103,299,424**
Non-Classified assets	-	-	-	13,527,727	**13,527,727**
Total assets	**41,975,571**	**44,745,406**	**16,578,447**	**13,527,727**	**116,827,151**
Liabilities of activity sectors	42,096,854	2,732,407	53,959,341	-	**98,788,602**
Non-classified liabilities	-	-	-	9,134,750	**9,134,750**
Total liabilities	**42,096,854**	**2,732,407**	**53,959,341**	**9,134,750**	**107,923,352**

6.NET Income FROM FUNDS

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Income from Murabaha, Musharaka, Mudaraba and other similar income				
Financing and facilities				
To customers	7,677,911	4,535,784	2,744,286	1,746,300
Total	**7,677,911**	**4,535,784**	**2,744,286**	**1,746,300**
Financial investments in debt instruments at AC and FVOCI*	9,079	-	6,074	-
Deposits and current accounts*	5,615,016	3,033,322	2,418,937	1,053,364
Income from Lease Receivable	288,349	152,124	112,602	61,810
Total	**13,590,355**	**7,721,230**	**5,281,899**	**2,861,474**
Cost of deposits and similar costs				
Deposits and current accounts:				
To banks	(88,854)	(143,529)	(44,445)	(33,903)
To customers	(6,889,828)	(3,963,797)	(2,734,801)	(1,465,905)
other financings	(367,766)	(175,450)	(153,638)	(71,075)
Financing financial instruments and sales transactions of financial instruments with a repurchase commitment	(878)	(1,738)	(232)	(519)
Total	**(7,347,326)**	**(4,284,514)**	**(2,933,116)**	**(1,571,402)**
Net profit income	**6,243,029**	**3,436,716**	**2,348,783**	**1,290,072**

* The Income from deposits and current accounts with banks includes the return resulting from the Murabaha contract with a local bank, and the returns, profits and losses resulting from financial investments in government debt instruments belong to this bank in accordance with the investment restricted Wakala which requires investing these amounts in government debt instruments within the limits of the expected and agreed return.

7. NET FEES AND COMMISSION INCOME

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Fees and commissions income:				
Credit related fees and commissions	930,211	491,314	341,284	173,853
Fees of corporate financing	26,958	74,713	9,357	22,964
Custody fees	1,156	-	326	-
Other fees	560,450	184,620	178,654	65,875
Total	**1,518,775**	**750,647**	**529,621**	**262,692**
Fees and commissions expenses:				
Paid brokerage fees	(397)	(130)	(196)	(52)
Various banking commission	(21,778)	(16,334)	(8,574)	(6,523)
Credit cards paid commissions	(179,231)	(96,812)	(87,254)	(48,227)
Other fees and commissions paid	(59,005)	(41,302)	(21,309)	(3,560)
Total	**(260,411)**	**(154,578)**	**(117,333)**	**(58,362)**
Net fees and commission income	**1,258,364**	**596,069**	**412,288**	**204,330**

8. DIVIDENDS INCOME

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Equity instruments at FVPL	704	293	172	197
Equity instruments at FVOCI	4,247	2,322	-	-
Mutual funds at FVPL	-	14	-	-
Total	**4,951**	**2,629**	**172**	**197**

9.NET TRADING INCOME

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Foreign currencies operations:				
Gain from fx deals	224,591	85,086	26,620	54,254
Gain / (Loss) of Islamic forward contracts revaluation	3,675	19,311	865	(21,751)
Gain / (Loss) of currency option contracts revaluation	2,322	(23)	304	2
Gain of revaluation of forward exchange contracts	1,177	-	1,143	-
Equity Instruments at FVPL	5,934	(2,163)	1,587	(1,392)
Mutual funds at FVPL	16,453	5,034	5,197	2,834
Total	**254,152**	**107,245**	**35,716**	**33,947**

10.OTHER OPERATING EXPENSES

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Gain / (Loss) on translation of monetary assets and liabilities denominated in foreign currencies other than those held for trading or initially designated at FVPL	(85,526)	549,358	(2,389)	75,138
Gain (Loss) on sale of assets reverted to bank	25,611	11,437	-	-
Gain on sale of fixed assets	42,173	722	617	-
Gain on sale of investment properties	222	369	-	157
Software cost	(166,510)	(80,545)	(72,521)	(27,474)
operating lease expense	(100,745)	(87,334)	(35,128)	(29,747)
Gain / (loss) on impairment of assets reverted to the bank	-	20,000	-	-
(Charge) / release of impairment other assets	(2,823)	-	(2,823)	-
Other provisions (net of reversed provision)*	(56,431)	(619,965)	58,309	(123,312)
Other income (expense)	(97,848)	(40,984)	(28,352)	(12,377)
Total	**(441,877)**	**(246,942)**	**(82,287)**	**(117,615)**

11.Expected CREDIT LOSSES

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Financing and facilities to customers	(1,040,610)	(380,226)	(411,191)	(150,703)
Due from banks	(8,243)	(98)	1,958	(173)
Financial investments at FVOCI	(1,198)	-	-	-
Financial investments at amortized cost	(9,407)	-	(10,157)	-
Leased Assets	(19,177)	369	(4,328)	(252)
Total	**(1,078,635)**	**(379,955)**	**(423,718)**	**(151,128)**

12.INCOME TAX EXPENSES

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Current tax	(1,427,785)	(888,732)	(451,543)	(312,138)
Deferred tax	30,862	32,423	(15,918)	16,415
Total	**(1,396,923)**	**(856,309)**	**(467,461)**	**(295,723)**

Tax on bank's profits are different from the amount resulting from application of current tax rates as follows:

Reconciliation to calculate effective tax rate

	Nine Months ended 30 September 2023 EGP (in thousands)	Nine Months ended 30 September 2022 EGP (in thousands)	Three Months ended 30 September 2023 EGP (in thousands)	Three Months ended 30 September 2022 EGP (in thousands)
Profit before tax	4,951,598	2,445,335	1,854,456	861,878
Applicable tax rate	22.5%	22.5%	22.5%	22.5%
Income tax (expenses) based on applied tax rate	1,114,110	550,200	417,253	193,923
Tax impact for				
Non-taxable revenues	(582,073)	(609,763)	(225,500)	(203,139)
Non-deductible tax expenses	382,680	392,693	86,595	129,615
Tax of treasury bills and bonds and dividends	482,206	523,179	189,112	175,325
Income tax expenses according to effective tax rate	**1,396,923**	**856,309**	**467,461**	**295,724**
Effective tax rate	**28.21%**	**35.02%**	**25.21%**	**34.31%**

13.CASH AND DUE FROM Central Bank of Egypt

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Cash	934,248	595,101
Balances with CBE within mandatory reserve ratio	10,231,881	9,331,872
Total	**11,166,129**	**9,926,973**
Non-Profit bearing balances	11,166,129	9,926,973
Total	**11,166,129**	**9,926,973**

14.DUE FROM BANKS

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Current accounts	228,029	200,475
Bank deposits*	39,866,320	14,015,212
Murabaha due from local banks*	32,715,599	32,795,172
Restricted wakala due to local banks*	(32,715,599)	(32,795,172)
	40,094,349	**14,215,687**
(less)Expected Credit Losses	(10,178)	(1,558)
Total	**40,084,171**	**14,214,129**
Balances with CBE other than mandatory reserve ratio	2,351,980	1,747,395
Local banks	36,787,216	11,566,270
Murabaha due from local banks*	32,715,599	32,795,172
Restricted wakala due to local banks*	(32,715,599)	(32,795,172)
Foreign Banks	955,153	902,022
(less)Expected Credit Losses	(10,178)	(1,558)
Total	**40,084,171**	**14,214,129**
Non-Profit bearing balances	228,028	200,475
Variable profit bearing balances	37,516,816	12,267,817
Fixed profit bearing balances	2,349,505	1,747,395
(less)Expected Credit Losses	(10,178)	(1,558)
Total	**40,084,171**	**14,214,129**
Due from banks' impairment loss provision analysis		
Balance at beginning of the year	1,558	128
Net Expected credit losses recognized during the period / year	8,243	1,339
Foreign exchange translation differences	377	91
Total	**10,178**	**1,558**

*Balances at banks include an amount of EGP 32,715,599 representing a Murabaha with a local bank corresponding to an investment-restricted Wakala due to the same bank for the same amount to invest the amount of the restricted Wakala in government debt instruments, An offset was conducted between them as they fulfil the requirements of offsetting between the assets and liabilities mentioned in the rules of preparing and presenting the financial statements issued by the Central Bank of Egypt on 16 December 2008.

15.FINANCING AND FACILITIES TO CUSTOMERS - (net of expected credit loss)

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Retail		
Debit current accounts	5,593	5,807
Credit cards	734,283	578,597
Personal financing	14,874,098	13,561,302
Real estate Financing	414,513	245,351
Total	**16,028,487**	**14,391,057**
Corporate (including SMEs)		
Debit current accounts	8,842,704	8,125,484
Direct financing	39,797,859	36,507,884
Syndicated financing	406,946	356,460
Credit cards	68	91
Total	**49,047,577**	**44,989,919**
Total financing and facilities to customers	**65,076,064**	**59,380,976**
Deduct:		
Expected Credit Losses	(3,738,083)	(2,696,928)
Profit in suspense	(91,801)	(111,335)
Total	**(3,829,884)**	**(2,808,263)**
Net	**61,246,180**	**56,572,713**
Classified in balance sheet as follow		
Conventional financing to customers (net of Expected Credit Losses)	18,106	14,659
Financing to customers (net of Expected Credit Losses)	61,228,074	56,558,054
Net	**61,246,180**	**56,572,713**
Variable-profit bearing balances	44,899,627	37,416,375
Fixed-profit bearing balances	16,346,553	19,156,338
Total	**61,246,180**	**56,572,713**

Financing and Facilities to customers' Expected Credit Losses analysis	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Balance at beginning of the year	**2,696,928**	**1,749,473**
Subsideries writ off	-	248,519
Net Expected Credit Losses during the period / Year	1,040,610	827,581
Recoveries from previously written-off financings	20,404	31,158
Used from provision during the period / Year	(152,733)	(339,659)
Foreign exchange translation differences	132,874	179,856
Total	**3,738,083**	**2,696,928**

15.FINANCINGS AND FACILITIES TO CUSTOMERS - Continued

Analysis of the movement of Expected Credit losses for the customers' financing and facilities based on types:

EGP (in thousands)

Retail

30 September 2023	Debit current accounts	Credit cards	Personal financing	Real estate Financing	Total
Balance at beginning of the year	-	56,138	574,268	2,060	632,466
Expected Credit Losses During the period	-	9,716	89,498	6,140	105,354
Recoveries from Written off loans	-	10,372	5,496	-	15,868
Used provisions during the period	-	(13,976)	(109,956)	-	(123,932)
Balance at 30 September 2023	-	62,250	559,306	8,200	629,756

Corporate

30 September 2023	Debit current accounts	Direct financing	Syndicated financing	Other financings	Total
Balance at beginning of the year	72,462	1,933,161	58,839	-	2,064,462
Expected Credit Losses During the period	78,142	768,087	89,028	-	935,257
Recoveries from Written off loans	-	4,536	-	-	4,536
Used provisions during the period	-	(28,802)	-	-	(28,802)
Foreign exchange translation differences	-	132,874	-	-	132,874
Balance at 30 September 2023	150,604	2,809,856	147,867	-	3,108,327

EGP (in thousands)

Retail

31 December 2022	Debit current accounts	Credit cards	Personal financing	Real estate Financing	Total
Balance at beginning of the year	-	54,948	516,400	132	571,480
Expected Credit Losses During the Year	-	10,501	219,404	1,928	231,833
Recoveries from Written off loans	-	14,431	881	-	15,312
Used from provision during the year	-	(23,742)	(162,417)	-	(186,159)
Balance at 31 December 2022	-	56,138	574,268	2,060	632,466

Corporate

31 December 2022	Debit current accounts	Direct financing	Syndicated financing	Other financings	Total
Balance at beginning of the year	54,598	1,092,555	30,840	-	1,177,993
Expected Credit Losses During the Year	17,864	549,886	27,999	-	595,749
Disposals resulting from sale of subsidiaries	-	248,519	-	-	248,519
Recoveries from Written off loans	-	15,846	-	-	15,846
Used from provision during the year	-	(153,501)	-	-	(153,501)
Foreign exchange translation differences	-	179,856	-	-	179,856
Balance at 31 December 2022	72,462	1,933,161	58,839	-	2,064,462

16. FINANCIAL INVESTMENTS

16/1 Financial investments at FVPL	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
A) Listed equity instruments		
Local corporate shares	14,053	8,485
Total equity instruments	**14,053**	**8,485**
B) Mutual funds certificates		
Un-Listed in stock exchange market	161,506	178,115
Total mutual funds certificates	**161,506**	**178,115**
Total financial investments at FVPL (1)	**175,559**	**186,600**
16/2 Financial investments at FVOCI		
A) Treasury bonds - at FV		
Listed in stock exchange market	214,139	91,951
Total Treasury bonds	**214,139**	**91,951**
B) Islamic Sukuk - at FV		
Listed in stock exchange market	148,855	-
Total Islamic Sukuk	**148,855**	**-**
B) Government treasury bills - at FV		
Un-Listed in stock exchange market	5,245,333	3,724,458
Total Government treasury bills	**5,245,333**	**3,724,458**
Detailed T-bills maturities as the following:		
Treasury bills of 91 days maturity	400	2,497,875
Treasury bills of 182 days maturity	3,865,025	1,950
Treasury bills of 273 days maturity	535,250	50,350
Treasury bills of 364 days maturity	1,353,000	1,221,125
Total	**5,753,675**	**3,771,300**
Unearned revenues	(484,010)	(43,326)
Valuation differences of treasury bills at FV	(24,332)	(3,516)
Net	**5,245,333**	**3,724,458**
C) Equity instruments at FV		
Listed in stock exchange market	27,199	23,709
Un-Listed in stock exchange market	161,203	138,717
Total equity instruments	**188,402**	**162,426**
D) Mutual funds certificates at FV		
Un-Listed in stock exchange market	27,405	24,258
Total mutual funds certificates	**27,405**	**24,258**
Total financial investments at FVOCI (2)	**5,824,134**	**4,003,093**

16.FINANCIAL INVESTMENTS - Continued

16/3 Financial investments at AC	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
A) Government treasury bonds		
Listed in stock exchange market	17,404,848	18,214,440
Un-Listed in stock exchange market	-	305,473
Less: Expected Credit Losses	(12,555)	(2,525)
Total government treasury bonds	**17,392,293**	**18,517,388**
B) Government treasury bills		
Un-Listed in stock exchange market	6,358,071	8,455,497
Less: Expected Credit Losses	(32,530)	(26,063)
Total government treasury bills	**6,325,541**	**8,429,434**
Detailed T-bills maturities as the following:		
Treasury bills of 91 days maturity	-	2,200,000
Treasury bills of 182 days maturity	-	1,690,000
Treasury bills of 273 days maturity	1,175,000	400,000
Treasury bills of 364 days maturity	5,326,109	4,420,686
Total	**6,501,109**	**8,710,686**
Unearned revenues	(143,038)	(255,189)
Less: Expected Credit Losses	(32,530)	(26,063)
Net (1)	**6,325,541**	**8,429,434**
REPOs		
Treasury bills sold with repurchase commitment within one week	(29,737)	(56,772)
Total	**(29,737)**	**(56,772)**
Unearned revenues	(224)	(431)
Net (2)	**(29,961)**	**(57,203)**
Net (1+2)	**6,295,580**	**8,372,231**
Total financial investments at AC (3)	**23,687,873**	**26,889,619**
Total financial investments (1+2+3)	**29,687,566**	**31,079,312**
Non-profit bearing balances	215,807	186,684
Fixed-profit bearing balances	29,371,759	30,892,628
Variable-profit bearing balances	100,000	-
Total financial investments	**29,687,566**	**31,079,312**

Debt instruments Expected Credit Losses analysis	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Balance at the beginning of the year	28,588	18,200
Net Expected Credit Losses during the period / Year	9,407	-
Foreign exchange translation differences	7,090	10,388
Total	**45,085**	**28,588**

16.FINANCIAL INVESTMENTS - Continued

16/4 Debt instruments at fair value

- The bank determines the fair value on the basis that it is the price that will be obtained to sell an asset or that will be paid to transfer a liability in an orderly transaction between market participants at the measurement date, taking into account when measuring fair value, the characteristics of the asset or liability in the event that market participants take those characteristics. Characteristics that are taken into account when pricing the asset and/or liability at the measurement date. These characteristics include the condition and location of the asset, restrictions on selling or using the asset and how market participants view it.
- The Bank uses the market approach to determine the fair value of financial assets and liabilities, considering that this approach uses prices and other relevant information resulting from market transactions that include assets or liabilities or a group of assets and liabilities, and are identical or comparable. Thus, the bank may use valuation techniques consistent with the market approach such as market multiples derived from comparable groups. And then the selection of the appropriate multiplier from within the scope requires the use of personal judgment, taking into account the quantitative and qualitative factors of the measurement.
- When the market approach cannot be relied upon in determining the fair value of a financial asset or a financial liability, the bank uses the income approach to determine the fair value, according to which future amounts such as cash flows or income and expenses are transferred to a current (discounted) amount so that the fair value measurement reflects market expectations current about future amounts.
- When it is not possible to rely on the market approach or the income approach in determining the fair value of a financial asset or a financial liability, the bank uses the cost approach in determining the fair value so that it reflects the amount that is currently requested to replace the asset in its current condition (the current replacement cost), so that the fair value reflects the cost incurred by a market participant as a buyer from acquiring a substitute asset that has a similar benefit since the market participant as a buyer will not initially pay more than the amount by which the benefit is exchanged for the asset.

- Level One - inputs are quoted (unadjusted) prices in active markets for identical assets or liabilities that the bank has access to at the measurement date.
- Level Two - The second level inputs are all inputs other than advertised prices within the first level, and these inputs are directly or indirectly observable to the asset or liability.
- Level Three - Level three inputs are the unobservable inputs of the asset or liability.

The following table shows the change in the methods for measuring the fair value of financial assets on September 30, 2023, from the comparative figures on December 31, 2022.

EGP (in thousands)

30 September 2023	Level One	Level Two	Level Three	Total
Financial investments in debt instruments	362,994	5,245,333	-	**5,608,327**
Mutual funds certificates	-	-	188,911	**188,911**
Equity instruments	41,252	-	161,203	**202,455**

31 December 2022	Level One	Level Two	Level Three	Total
Financial investments in debt instruments	91,951	3,724,458	-	**3,816,409**
Mutual funds certificates	-	-	202,373	**202,373**
Equity instruments	32,194	-	138,717	**170,911**

17. FIXED ASSETS (NET)

EGP (in thousands)

30 September 2023	Lands & Premises	& Machinery Equipment	Other assets	Total
Cost	246,389	104,479	1,022,339	**1,373,207**
Accumulated Depreciation	(44,758)	(55,543)	(568,259)	**(668,560)**
Disposals resulting from the sale and reclassification of subsidiaries	(77,100)	(41,286)	(63,269)	**(181,655)**
Net Book Value	**124,531**	**7,650**	**390,811**	**522,992**
Net Book Value at the beginning of the year	135,157	8,624	352,687	**496,468**
Additions	-	337	85,058	**85,395**
Disposals	(11,063)	(644)	(10,034)	**(21,741)**
Disposals' Accumulated Depreciation	4,679	644	9,507	**14,830**
Depreciation charge for the period	(4,242)	(1,311)	(46,407)	**(51,960)**
Net Book Value	**124,531**	**7,650**	**390,811**	**522,992**

31 December 2022	Lands & Premises	& Machinery Equipment	Other assets	Total
Cost	257,452	104,786	947,315	**1,309,553**
Accumulated Depreciation	(45,195)	(54,876)	(531,359)	**(631,430)**
Disposals resulting from the sale and reclassification of subsidiaries	(77,100)	(41,286)	(63,269)	**(181,655)**
Net Book Value	**135,157**	**8,624**	**352,687**	**496,468**
Net Book Value at the beginning of the year	140,836	8,310	369,125	**518,271**
Additions	-	1,840	52,244	**54,084**
Disposals	(8)	(1,235)	(3,582)	**(4,825)**
Disposals' Accumulated Depreciation	8	1,215	3,343	**4,566**
Depreciation charge for the year	(5,679)	(1,506)	(68,443)	**(75,628)**
Net Book Value	**135,157**	**8,624**	**352,687**	**496,468**

18. DUE TO BANKS

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Current Accounts	215,449	74,840
Deposits	6,086,000	-
Total	**6,301,449**	**74,840**
Local Banks	2,637,660	14,526
Foreign Banks	3,663,789	60,314
Total	**6,301,449**	**74,840**
Non-profit bearing balances	215,449	74,840
Variable profit bearing balances	6,086,000	-
Total	**6,301,449**	**74,840**

19.CUSTOMERS' DEPOSITS

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Demand Deposits	37,945,476	29,313,558
Time and call deposits	31,459,241	26,600,969
Saving and deposit certificates	32,103,867	26,962,397
Saving Deposits	10,685,423	11,009,014
Other Deposits	3,007,338	3,728,388
Total	**115,201,345**	**97,614,326**
Corporate deposits	59,270,342	48,184,207
Retail deposits	55,931,003	49,430,119
Total	**115,201,345**	**97,614,326**
Non-profit bearing balances	11,556,718	13,659,966
Fixed profit bearing balances	103,644,627	83,954,360
Total	**115,201,345**	**97,614,326**

20.SUBORDINATED FINANCING and Other Islamic Financings

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Subordinated Financing without coupon*	1,045,878	821,667
Subordinated Financing with coupon**	2,749,513	1,187,683
Other Financings	1,221,625	1,075,915
Total	**5,017,016**	**3,085,265**
Subordinated Financing without coupon*		
Balance at the beginning of the financial year- face value of subordinated financing	821,667	534,421
Subordinated financing cost using effective interest rate method	19,988	24,089
Foreign currency valuation differences	204,223	300,017
Readustment effect for Subordinated Financing	-	(36,860)
Total	**1,045,878**	**821,667**

***Subordinated Financing with no coupon**

The subordinated financing without interest represents an amount of 39 million US dollars granted by the Abu Dhabi Islamic Bank, the UAE, under a framework agreement for the agency with investment for a period of 6 years, starting from December 27, 2012, and in 2016 a supplementary agreement was concluded for the support financing contract by extending the term of the contract to end on December 27, 2023 On March 30, 2022, another supplementary agreement was concluded for the support financing contract, by extending the contract term to end on March 29, 2029 instead of December 27, 2023. The bank recorded the supporting financing at the current value using a discount rate of 3.25%, and these supplementary agreements resulted in the loading of equity net The amount of 12.465 thousand Egyptian pounds, which represents the difference between the nominal value and the present value of the financing at the date of the term extension agreement.
This agreement also resulted in an expected profit for the agent of 6.25% of the investment amount.

****Subordinated Financing with coupon**

Abu Dhabi Islamic Bank - AUE

**On 29 December 2016 the bank was granted an additional subordinated financing of USD 9mn from Abu Dhabi Islamic Bank-UAE under Wakala investment agreement for 7 years starting from 29 December 2016 with a profit rate equals to 6.5% from the investment amount, which is not significantly different from the market discount rate.

**On 28 March 2019, the bank was granted an additional subordinated financing of USD 30mn from Abu Dhabi Islamic Bank-UAE under Wakala investment agreement for 7 years starting from 28 March 2019 with a profit rate equals 9.88% from the investment amount, which is not significantly different from the market discount rate.

International Finance Corporation

**On 07 July 2023 the bank was granted an additional subordinated financing of USD 50mn from International Finance Corporation under Murabaha agreement for 5 years starting from 07 July 2023 with a profit rate equals to 9.433% from the investment amount, which is not significantly different from the market discount rate.

21.OTHER PROVISIONS

30 September 2023	Provisions for Contingent Claims*	Tax Provision	Provision for Contingent Liabilities	Other Provisions	Total
Balance at beginning of the year	**17,432**	**45,519**	**679,617**	**2,010**	**744,578**
Impairment charged during the period	19,063	5,134	97,101	-	**121,298**
Used provision during the period	(1,950)	(3,681)	-	-	**(5,631)**
Amounts written-off during the period	(564)	-	(64,303)	-	**(64,867)**
Foreign exchange translation differences	(2)	-	78,771	-	**78,769**
Transfer From/ To Liabilities	5,455	(547)	-	-	**4,908**
Balance at 30 September 2023	**39,434**	**46,425**	**791,186**	**2,010**	**879,055**

31 December 2022	Provisions for Contingent Claims*	Tax Provision	Provision for Contingent Liabilities	Other Provisions	Total
Balance at beginning of the year	**1,305,879**	**38,348**	**387,800**	**2,010**	**1,734,037**
Impairment charged during the period	628,376	10,575	257,408	-	**896,359**
Used provision during the period	(1,900,379)	(3,404)	-	-	**(1,903,783)**
Amounts written-off during the period	(18,386)	-	(57,874)	-	**(76,260)**
Foreign exchange translation differences	1,942	-	92,283	-	**94,225**
Balance at 31 December 2022	**17,432**	**45,519**	**679,617**	**2,010**	**744,578**

In reference to what was stated in the minutes of the ordinary general assembly of the bank on October 18, 2015, regarding the different opinions on the basis for calculating the amounts of US dollars paid under the capital increase account by Abu Dhabi Islamic Bank - UAE as amounts in Egyptian pounds, which may result in a possible claim from Abu Dhabi Islamic Bank, UAE. Based on the assessment of the external legal advisor of Abu Dhabi Islamic Bank - Egypt for the potential loss resulting from the change in the exchange rate, the bank has established a provision for potential claims in the amount of EGP 1.895 million to Date 31 December 2022 Which Represents the Expected Cash Inflow to meet the current obligation.

22.CAPITAL

22.1 The Authorized Capital

- The authorized capital amounted to EGP 7 billion (31 December 2022: EGP 7 billion).

22.2 Issued and paid up capital

- The issued and paid-up capital amounted to EGP 5 billion represented by 500 million shares with a nominal value of EGP 10 per share (December 31, 2022: 4 billion EGP).
- The Ordinary General Assembly of Abu Dhabi Islamic Bank - Egypt, which was held on October 4, 2022, agreed to increase the issued and paid-up capital in cash from EGP 4 billion to EGP 5 billion, with an increase of EGP 1 billion distributed over 100 million shares, with a nominal value of 10 pounds. per share, through subscription for the old shareholders, and the subscription was opened from December 18, 2022 to January 16, 2023, according to the subscription prospectus, all the legal procedures were finalized and the commercial register was issued on 05 June 2023 with paid up capital of EGP 5 Billion.

23.RESERVES

	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Legal Reserve	255,491	149,239
General Reserve	54,955	51,371
Special Reserve	31,968	25,295
General Banking Risk Reserve	-	9,062
Capital Reserve	4,748	4,063
General Risk Reserve	219,979	219,979
Fair value reserve	91,219	83,878
Total reserves	**658,360**	**542,887**

24.RELATED PARTIES TRANSACTIONS

Transactions balances with related parties included through the period are as follows:

Relationship Nature	Account Nature	Transaction Nature	30 September 2023 EGP (in thousands)	31 December 2022 EGP (in thousands)
Major Shareholders	Assets	Due from banks	8,010	8,618
Major Shareholders	Assets	Other Assets	51,715	35,797
Major Shareholders	Liabilities	Due to banks	22,571	13,617
Major Shareholders	Liabilities	Subordinated financing	2,250,721	2,009,350
Major Shareholders	Liabilities	Other Liabilities	3,798,137	-
Major Shareholders	Liabilities	Management fees	195,410	160,634
Major Shareholders	Shareholders equity	Difference between face value and present value for subordinated financing	31,784	35,780
Associates Companies	Liabilities	Customers deposits	104,477	110,832

The related parties transactions during the year are represented as follows:

Relationship Nature	Account Nature	Transaction Nature	30 September 2023 EGP (in thousands)	30 September 2022 EGP (in thousands)
Major Shareholders	Expenses	Cost of subordinated financing with no coupon using EIR method	(19,988)	(18,816)
Major Shareholders	Expenses	Cost of subordinated financing with coupon	(152,652)	(80,077)

*Wages, salaries and in kind benefits on September 30, 2023 shall include an amount of 46,574 thousand Egyptian pounds, which shall represent the total number of the largest twenty employees' rewards and salaries in the bank combined.

25.SIGNIFICANT EVENTS

Interest rate on interbank loans (IBOR)

Interest rate risk

Shifting from the interest rate on mutual funds between banks:

- Regulators and central banks in various jurisdictions have held national staff meetings to set replacement rates for IBOR to facilitate an orderly transition to IBOR.
- The traditional rates for this indicator are replaced by new revised alternative reference rates such as the exchange of the LIBOR dollar (interbank rate) in London with SOFR, the British pound LIBOR being replaced by SONIA, the euro being replaced by LIBOR by ESTR, the Swiss franc LIBOR being replaced by SARON and the yen Japanese LIBOR by TONAR.
- The official publication of the following LIBOR rates will cease immediately after December 31, 2021 for the LIBOR indices of the British Pound, Euro, Swiss Franc and Japanese Yen. As for the US dollar LIBOR, the publication of the 1-week and 2-month periods will stop by December 31, 2021 and other interest rates from the LIBOR rate will stop on June 30, 2023.
- LIBOR rates are forward looking and published for a borrowing period (eg 1 months, 3 months, 6 months, etc.) and adjusted according to the spread of credit risk, while the alternative reference rates are overnight rates based on actual transactions, so you need to enter Adjustments to the distribution of the term, as it must be economically equivalent to its predecessor in the transition stage.
- The bank has begun to develop a transformational program for EIBOR, and the program is currently focusing on evaluating the impact of the EIBOR transition on existing contracts and its impact on the risk of return rate, as well as adding a paragraph in these contracts that indicates the eligibility of the bank to use an alternative reference rate with other parties and customers.

Economic factors

- The global economy has faced many responses and challenges that it has not seen in years, such as the Corona pandemic and closure policies, then followed by the Russian-Ukrainian conflict, which had dire economic repercussions, which caused pressure on the Egyptian economy, which called for taking reform measures by the Central Bank of Egypt to ensure macroeconomic stability and achieve sustainable economic growth, and to achieve this, the exchange rate will reflect the value of the Egyptian pound against other foreign currencies by the forces of supply and demand within the framework of a flexible exchange rate, and in order to support the goal of price stability, a committee decided Monetary Policy (MPC) Raising the rates of the overnight deposit and lending return and the price of the main operation of the Central Bank by 200 basis points on 2 April 2023, compared to the comparison year, to reach 18.25%, 19.25% and 18.75%, respectively. Then, on August 3, 2023, the Monetary Policy Committee of the Central Bank of Egypt decided to raise the rates of the overnight deposit and lending return and the price of the main operation of the Central Bank by 100 basis points, to reach 19.25%, 20.25%, and 19.75%, respectively. The credit and discount rate was also raised by 100 basis points to 19.75%.
- Fitch and S&P Global Ratings agency has downgraded Egypt's long-term sovereign credit rating in local and foreign currencies to B- from B with stable outlook, also Moody's downgraded Egypt's credit rating by a notch to 'Caa1' from 'B3' with stable outlook, citing the country's worsening debt affordability.